

Anuj Gupta vs Praveen Kumar on 2 April, 2025

IN THE COURT OF SHRADDHA TRIPATHI, JUDICIAL
MAGISTRATE FIRST CLASS - 02, N.I.ACT, SOUTH DISTRICT,
SAKET COURTS, NEW DELHI

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Anuj Gupta Vs. Praveen Kumar

A. CNR No.	DLST02-037758-2018
B. Date of Institution	07.12.2018
C. Name of complainant	Sh. Anuj Gupta S/o Umesh Chand Gupta R/o H.No. A-36, Shivalik, New Delhi-110017.
D. Name of the accused, her parentage and address	Sh. Praveen Kumar S/o Sh. Hukum Chand R/o H.No. T-265-C/7-A, Chirag Delhi-110017
E. Offence complained of	Under Section 138 Negotiable Instruments Act, 1881
F. Plea of the accused	Pleaded not guilty and claimed trial
G. Date of judgment	02.04.2025
H. Final Order	Accused is acquitted

Factual Background

1. These proceedings have been initiated by the complainant under Section 138, Negotiable Instruments Act, 1882 (hereinafter 'NI Act'). Briefly stated, it is the case of complainant that he had filed a case bearing CC No. 4611/2017 titled as 'Anuj Gupta v. Brij Bala'. In this case, both the parties had arrived at a settlement and a settlement agreement dated 31.07.2017 was

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executed between Anuj Gupta and Brij Bala wherein the latter had agreed to pay Rs 22,00,000/-. However, as per the complainant's version the accused as well as Brij Bala (wife of accused) failed to comply with the terms of settlement. It is alleged by the complainant that in October, 2018, in order to pay the settlement amount, the accused namely 'Praveen Kumar' handed over the cheque in question bearing following details to the complainant which got dishonoured vide return memo dated 23.10.2018.

2. Upon receiving the knowledge of dishonour of the above cheque, the complainant served a legal demand notice dated 15.11.2018 upon the accused requiring him to make the necessary payment. However, upon the

failure of the accused to pay the cheque amount within 15 days, the present proceedings under section 138 NI Act were initiated by the complainant against the accused.

3. To fortify his case, the complainant has tendered his evidence by way of affidavit which is Ex CW 1/B and relied upon the following documentary evidences:

Sr. No	Document	Exhibit Number
1.	Copy of settlement agreement dated 31.07.2017 in CC No: 4611/2017 in Anuj Gupta v. Brij Bala	Ex CW1/1
2.	Cheque bearing no. 000016 dated 11.10.2018	Ex CW1/2
3.	Return memo dated 23.10.2018	Ex CW1/3
4.	Copy of legal notice dated	Ex CW1/4

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15.11.2018

5. Postal Receipt

Ex CW1/4

Case Proceedings

4. Upon the appearance of accused, notice of accusation under section 251 of the Code of Criminal Procedure, 1973 (hereinafter 'CrPC') was framed on 22.03.2023 and substance of allegations against the accused was accordingly explained to him to which the accused pleaded not guilty and claimed trial. The same was duly recorded alongwith his plea of defence.

5. Thereafter, the accused was permitted to cross-examine CW1 under section 145 (2), NI Act. However, despite repeated opportunities he failed to cross-examine the complainant because of which his right to cross-examine the complainant was closed on 14.12.2023.

6. On 22.05.2024, the Statement of Accused was recorded as per the terms of Section 313 CrPC read with Section 281 CrPC explaining the incriminating substances, that appear in evidence against him. The accused explained that signatures on the cheque in question are not his. He stated that he had borrowed Rs 70,00,000/- from the complainant. Of this, Rs. 5,00,000/- was transferred to his bank account and Rs. 5,00,000/- was transferred in the bank account of his wife for which she had given one security cheque of Rs 5,00,000/- which was dishonoured and a case was filed against her. Upon settlement in the aforesaid case, the cheque in question was given. He further stated that money was borrowed for reconstruction of a property which was begun but could not be completed due to some dispute with MCD Officials and local builders. Thereafter, the complainant in whose name the said property was

repeatedly demanded the money and one Preet Balhara bought the property to

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cover up for the losses of complainant and help the accused. The accused stated that now only a liability of Rs 10,00,000/- remains to be paid on his behalf. He also explained that the complainant has also kept one of his ancestral properties as security for the loan of Rs 70,00,000/-.

7. Post the recording of statement of accused, the matter was fixed for leading Defence Evidence. The accused moved an application under section 315 CrPC to examine himself as witness which was allowed and he was examined, cross-examined and discharged on 03.02.2025. Thereafter, the matter was fixed for final arguments.

Submissions on behalf of Complainant

8. Ld counsel for the complainant submitted that the complainant and accused know each other since a long time. He submitted that the cheques in question were given in lieu of a settlement arrived at Mediation Centre, Saket as a case was filed against the wife of accused by the complainant.

9. He submitted that the cheque in question was given from an account jointly owned by the accused and his wife and therefore both of them are authorised to issue it. He argued that the fact that the account was jointly owned by the accused and his wife has been admitted by the accused.

10. He further submitted that it is not mandatory that both the joint account holders should sign the cheque. He submitted that the transaction for the purpose of a construction business has been admitted alongwith the fact of advancement of loan amount.

11. He submitted that the ITRs brought by the accused in his Defence Evidence a mere photocopy and inadmissible. He argued that no cogent evidence to rebut the liability of accused has been placed on record.

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12. It has also been submitted by Ld. counsel that in lieu of the presumptions of Sec 139, NI Act in favour of the complainant and the fact that the same remain unrebutted, all the ingredients under section 138 NI Act have been duly met and the liability of the accused has been established and thus he be convicted of the offence.

Submissions on behalf of Accused

13. Ld counsel for the accused submitted that the accused had borrowed a loan of Rs 70,00,000/- from the complainant of which only a loan of Rs 10,00,000/- remains to be paid.

14. He also submitted that the cheque in question was not signed by the accused but by his wife therefore the accused does not owe any liability.

15. Ld counsel for the accused submitted that the accused has

successfully rebutted the presumption under section 139 NI Act to the extent of preponderance of probabilities thus the accused be acquitted.

Analysis and findings

16. Learned counsels of both the parties have been heard at length and documents on record have been perused.

17. Sec 138, NI Act was introduced with the objective of inculcating faith in the efficacy of banking operations and giving credibility to negotiable instruments in business transactions. The provision intends to discourage people from not honouring their commitments by way of payment through cheques. To attract liability under section 138, NI Act, the following ingredients are required to be fulfilled:

First Ingredient: The cheque was drawn by a person on an account maintained by him in a bank for payment of a certain amount of money to

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another person from out of that account and the same be presented to the bank within a period of three months from the date on which it is drawn or within the period of its validity whichever is earlier;

Second Ingredient: The cheque was drawn by the drawer for discharge, in whole or in part, of any legally enforceable debt or other liability;

Third Ingredient: The cheque is returned by the bank unpaid, either because of the amount of money standing to the credit of the account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with the bank.

Fourth Ingredient: A demand of the said amount has been made by the payee or the holder in due course of the cheque by giving a notice in writing, to the drawer of the cheque, within 30 days of the receipt of information by him from the bank regarding the dishonour of cheque.

Fifth Ingredient: The drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of the said notice.

18. At the very outset, it is essential to note that each and every ingredient as stated above ought to be duly fulfilled. The fulfillment of third ingredient is not disputed.

19. Qua the fulfillment of fourth and fifth ingredient, it was stated by the accused in his statement of admission and denial of documents recorded under Section 294 CrPC that he did not receive the legal demand notice. At no stage, the accused has disputed the correctness of address mentioned in the legal demand notice. Further, the first vakalatnama filed on behalf of the accused bears the same address upon which the legal demand notice was sent. The

accused has mentioned the same address on his bail bonds furnished on 10.03.2023. Section 114 of the Indian Evidence Act, 1872 (hereinafter 'IEA') is applicable to communications sent by post in full force and it enables the court to presume that in the common course of natural events, the communication would have been delivered at the address of the addressee. Section 27 of the General Clauses Act envisages that when a registered notice is posted, it is presumed to have been served unless rebutted. In the instant case too, the same remains unrebutted.

20. In CC Alavi Haji v. Palapetty Muhammed & Anr (2007) 6 SCC 555, Hon'ble Apex Court held,

"Any drawer who claims that he did not receive the notice sent by post, can, within 15 days of receipt of summons from the court in respect of the complaint under Section 138 of the Act, make payment of the cheque amount and submit to the Court that he had made payment within 15 days of receipt of summons (by receiving a copy of complaint with the summons) and therefore, the complaint is liable to be rejected. A person who does not pay within 15 days of receipt of the summons from the Court along with the copy of the complaint under Section 138, by ignoring statutory presumption to the contrary under Section 27 of the G.C. Act and Section 114 of the Evidence Act."

21. In lieu of the above observations and dictum of the Hon'ble Supreme Court, I am of the opinion that legal demand notice Ex CW1/4 was duly served upon the accused. The fact of non-payment within a period of 15 days of receipt of legal demand notice is also not disputed. Therefore, this limb of the defence of the accused lacks the strength to out-way the force of above settled position of law. Thus, the fourth and fifth ingredient is also decided in favour of the complainant and against the accused.

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22. Adverting to the fulfilment of first ingredient, i.e., the cheque in question was drawn by the accused. The accused has stated at all stages that the cheque in question does not bear his signatures but of his wife.

23. Therefore, the moot question that emerges for adjudication before this court is whether a non-signatory to the cheque in question be held liable and considered as a drawee of the cheque solely on being a joint account holder in an account from which the cheque in question is drawn by another joint account holder.

24. Legal position qua this issue already stands cemented and reference should be made to the ruling of the Hon'ble Supreme Court of India in Aparna A. Shah vs M/S Sheth Developers P.Ltd.& Anr, AIR 2013 SC 3210

"22) In the light of the above discussion, we hold that under Section 138 of the Act, it is only the drawer of the cheque

who can be prosecuted. In the case on hand, admittedly, the appellant is not a drawer of the cheque and she has not signed the same. A copy of the cheque was brought to our notice, though it contains name of the appellant and her husband, the fact remains that her husband alone put his signature. In addition to the same, a bare reading of the complaint as also the affidavit of examination-in- chief of the complainant and a bare look at the cheque would show that the appellant has not signed the cheque. 23) We also hold that under Section 138 of the N.I. Act, in case of issuance of cheque from joint accounts, a joint account holder cannot be prosecuted unless the cheque has been signed by each and every person who is a joint account holder. The said principle is an exception to Section 141 of the N.I. Act which would have no application in the case on hand. The proceedings filed under Section 138 cannot be used as an arm-twisting tactics to recover the amount allegedly due from the appellant. It cannot be said that the complainant has no remedy against the appellant but certainly not under Section 138. The culpability attached to dishonour of a cheque can, in no case "except in case of Section 141 of the N.I. Act" be extended to those on whose behalf the cheque is issued. This Court reiterates that it is only the drawer of the cheque who can be made an accused in any proceeding under Section 138 of the Act. Even the High Court has specifically recorded the stand of the appellant that she was not

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the signatory of the cheque but rejected the contention that the amount was not due and payable by her solely on the ground that the trial is in progress. It is to be noted that only after issuance process, a person can approach the High Court seeking quashing of the same on various grounds available to him. Accordingly, the High Court was clearly wrong in holding that the prayer of the appellant cannot even be considered. Further, the High Court itself has directed the Magistrate to carry out the process of admission/denial of documents. In such circumstances, it cannot be concluded that the trial is in advanced stage.

24) Under these circumstances, the appeal deserves to be allowed and process in Criminal Case No. 1171/SS/2009 pending before the Court of learned Metropolitan Magistrate 13th Court, Dadar, Mumbai deserves to be quashed, accordingly, quashed against the appellant herein. The appeal is allowed."

25. This principle was re-iterated in Alka Khandu Avhad vs Amar Syamprasad Mishra AIR 2021 SUPREME COURT 1616, wherein the Hon'ble Apex Court,

"Therefore, a person who is the signatory to the cheque and the cheque is drawn by that person on an account maintained by him and the cheque has been issued for the discharge, in whole or in part, of any debt or other liability and the said cheque has been returned by the bank unpaid, such person can be said to have committed an offence. Section

138 of the NI Act does not speak about the joint liability. Even in case of a joint liability, in case of individual persons, a person other than a person who has drawn the cheque on an account maintained by him, cannot be prosecuted for the offence under Section 138 of the NI Act. A person might have been jointly liable to pay the debt, but if such a person who might have been liable to pay the debt jointly, cannot be prosecuted unless the bank account is jointly maintained and that he was a signatory to the cheque."

26. The Hon'ble Delhi High Court faced a similar situation in *Gita Berry vs Genesis Educational Foundation* 151 (2009) DLT 155 wherein the cheque was issued from a joint account maintained by the petitioner and her husband, but the signatures on the same were only of the petitioner's husband.

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Therefore, there was no trace that the cheque in question was issued by the petitioner even though it was issued on a joint account also maintained by her. The Hon'ble High Court noted that albeit there could be evidence of negotiations between the respondent and petitioner & her husband but Section

138 NI Act is not loosely worded to accommodate a situation as in the case before it. It was noted that merely because it was a joint account cheque but drawn by one joint account holder, the other one cannot be dragged into criminal prosecution under Section 138 NI Act. Resultantly, proceedings against the petitioner under Section 138 NI Act were quashed by the Hon'ble Delhi High Court.

27. The instant case squarely falls within the dicta laid in the above rulings. The cheque in question is issued from an account opened jointly in the name of 'Brij Bala' and 'Praveen Kumar' (accused in the present matter). However, the cheque in question Ex CW1/2 is drawn by Brij Bala, i.e., the wife of accused. But the entire case has been framed against Praveen Kumar. Even, the legal demand notice was sent to the accused despite him not being a signatory to the cheque in question.

28. The phrase "such person shall be deemed to have committed an offence" incorporated under Section 138 NI Act distinctly refers to the drawer of cheque in question and no other person. It is voluminously clear from the authorities of the Hon'ble Apex Court and Hon'ble Delhi High Court as cited above that criminal liability under Section 138 NI Act can be fastened only upon the drawer of the cheque in question, even if the cheque in question is drawn on an account jointly owned by two individuals. This is further in consonance with the norm of construing penal provisions strictly and not casually to include any and every person.

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29. It is an exception to the principle laid in Section 141 NI Act, whereby directors and partners are also brought within the purview of Section 138 NI Act even though the drawer of cheque is a company/partnership firm. Other than that, the purview of Section 138 NI Act is limited solely to the drawer/signatory to the cheque in question. Likewise, even when the cheque in question pertains to a joint account, liability under Section 138 NI Act is fastened solely against the signatory

and none other. Section 138 NI Act cannot be used as a handy tool to recover money by an arm twisting of facts. The complainant may resort to other legal remedies but Section 138 NI Act cannot come to his rescue at all. Therefore, non-signatory to the cheque in question cannot be held to be a drawer of the cheque in question solely on the ground of being a joint account holder and case is not maintainable against him

30. Qua the fulfilment of second ingredient, i.e. the existence of a legally enforceable debt, it must be noted that presumptions under Section 118 and Section 139 NI Act take the forefront only when signatures on the cheque in question or in other words the execution or issuance of cheque is admitted. Further, these presumptions under Section 139 and Section 118 NI Act are rebuttable presumptions. The present case is not the one where presumptions under Section 139 read with Section 118 NI Act get attracted as signatures of accused are not admitted. The complainant's case is premised upon a settlement agreement executed at a mediation centre between him and the wife of accused. The earlier case where this settlement agreement was executed was also filed against the wife of accused and not the accused. Settlement Agreement dated 31.07.2017 Ex CW1/1 bears the signature of complainant and wife of accused as First party and Second party respectively. The signatures of accused on Ex CW1/1 are merely as husband of accused. Therefore, even from the lens of the existence of a legally enforceable debt it is evident the same is not found to be CT case 17503/2018 Anuj Gupta Vs. Praveen Kumar 11 of 13 against the accused as evinced from the evidence brought by the complainant himself. There could be participation of the accused in some negotiations, but as per the evidence of complainant himself, the liability was owed by the wife of accused and not the accused. Even for arguendo, if it is considered that the cheque in question was issued for discharge of this liability, it was signed by Brij Bala and not the accused.

31. In either case, accused cannot be trapped in the rigours of Section 138 NI Act for two reasons. Primarily, he is not the signatory to the cheque in question even though the cheque pertains to a joint account statement in terms of ruling of Hon'ble Supreme Court of India in Aparna A. Shah (supra), Alka Khandu Avhad (supra) and Gita Berry (supra). Secondly, the settlement agreement was not executed between the complainant and accused but between the complainant and wife of accused. Nowhere, the complainant could show as to how could the accused be roped in as he owed a liability towards the complainant.

32. Hence, in terms of the above observation the first and second ingredient remain unfulfilled and the same is decided in favour of the accused and against the complainant.

Conclusion

33. All the legal requirements constituting an offence u/s 138 NI Act are cumulative in nature. Since all the ingredients necessary to bring home the guilt of accused have been proved, accused Praveen Kumar is hereby held 'not guilty' and consequently acquitted of the offence under Section 138 NI Act.

34. This judgment contains 13 pages. This judgment has been pronounced by the undersigned in the open court and each page bears the signatures of the undersigned.

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Announced in Open Court
on 02.04.2025

(SHRADDHA TRIPATHI)
JUDICIAL MAGISTRATE
FIRST CLASS-02/NI ACT(SD)
SAKET/NEW DELHI/02.04.2025

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